25900767 **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-BBA (HONOURS) REGULAR/IMPROVEMENT/REAPPEARANCE EXAMINATION NOVEMBER 2025

FIRST SEMESTER

Core Course (CC) - MG1CCRBBA101 - FINANCIAL ACCOUNTING

(2024 ADMISSION ONWARDS)

Duration: 2 Hours **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Short Answer Type Questions

Answer any **5** out of **8** Questions

Each Question carries **2** marks

1. Write accounting equations for the following transactions [K] / [CO1]
   (a) Commenced business with Rs. 40,000 cash
   (b) Purchased machinery Rs. 18,000
   (c) Purchased goods on credit Rs. 13,000
   (d) Sold goods costing Rs. 7,000 for cash Rs. 9,000
2. Why is it important to classify expenses as capital or revenue. [U] / [CO1]
3. Name two types of share capital. [K] / [CO2]
4. What is the significance of Notes to Accounts for decision makers? [U] / [CO2]
5. Give the importance of the Sales return Day book. [U] / [CO3, CO4]
6. Relate the trial balance to the overall accounting cycle and its importance in ensuring accuracy. [U] / [CO3, CO4]
7. Explain the term Real account.Illustrate with an example. [U] / [CO3, CO4]
8. What do you understand by provision for discount on debtors? [U] / [CO5]

[5x2 = 10]

Part B

Short Essay Type Questions

Answer any **4** out of **6** Questions

Each Question carries **5** marks

9. Summarise the accounting conventions related to Accounting principles. [U] / [CO1]

10. Explain the qualitative aspects of financial accounting. [U] / [CO1]

11. Explain the benefits and limitations of Green Accounting [U] / [CO2]

12. Identify and explain the two main categories of expenses that should appear in the Income Statement as per the Companies Act, 2013. [U] / [CO2]

13. Illustrate the process of posting entries to different types of ledgers, such as sales, purchases and general ledgers. [U] / [CO3, CO4]

14. Opening stock 18,500
Net purchases 1,30,000
Net sales 2,46,000
Factory expenses 10,500
Admin expenses 24,900
Sales promotion 33,800
Closing stock 36,000
Calculate : (i) Cost of goods sold (ii) Gross Profit (iii) Operating Profit. [U] / [CO5]

[4x5 = 20]

Part C

Essay Type Questions

Answer any **2** out of **4** Questions

Each Question carries **20** marks

15. Describe the term Accounting. Explain the advantages and disadvantages of Accounting. [U] / [CO1]

16. [A] / [CO3, CO4]

Prepare a Two Column Cash Book (Cash & Bank) by recording the given cash and bank transactions, balance the Cash Book correctly, and determine the closing balances of Cash and Bank at the end of the accounting period.

Date	Transaction	Amount
1-Jun	Cash in hand	42,500
1-Jun	Cash at bank	29,500
3-Jun	Cash purchases	16,500
6-Jun	Paid motor expenses cash	950
9-Jun	Received cash from Nithin	9,000

12-Jun	Deposited cash into bank	10,000
16-Jun	Tools purchased by cheque	12,000
20-Jun	Cash sales	25,900
24-Jun	Cash withdrawn from bank	6,400
29-Jun	Paid salary cash	7,300

17. Outline the steps involved in recording a journal entry from source documents to ledger posting. [U] / [CO3, CO4]

18. From the following Trial Balance of M/s Elegance Enterprises prepare Trading A/c, Profit & Loss A/c and Balance Sheet for the year ended 31st March 2019. [An] / [CO5]

Particulars	Debit (Rs.)	Credit (Rs.)
Capital	-	68,000
Opening Stock	17,500	-
Purchases	59,800	-
Sales	-	107,500
Wages	7,900	-
Carriage Inward	1,400	-
Salaries	12,700	-
Furniture	29,500	-
Land and Buildings	26,750	
Machinery	17,300	-
Sundry Debtors	23,600	-
Sundry Creditors	-	21,600
Bills Receivable	3,700	-
Bills Payable	-	4,800
Cash in hand	2,100	-
Stationery	650	-
Carriage Outward	1,100	-
Discount received	-	2,100
Total	204,000	204,000

Adjustments :

1. Closing Stock Rs. 25,900
2. Depreciation on Machinery @ 10%
3. Accrued Income Rs. 850

[2x20 = 40]